

Global Strategy: Class #2

The Institutional Environment in Global Markets

Corruption in International Business

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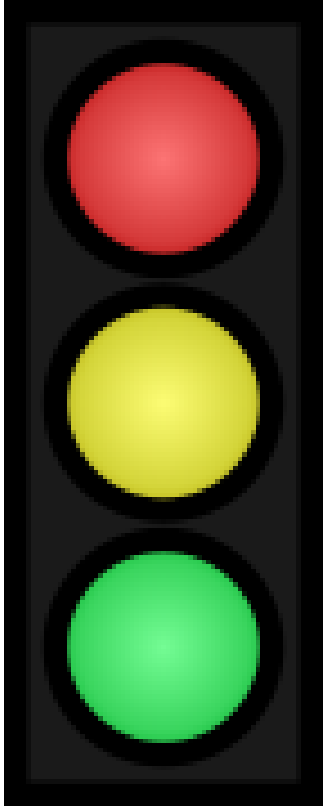
Last Class

- Should we go abroad? **ADDING Value Framework**
 - How much value is added: Volume, Margin (WTS, Cost, WTP, Industry attractiveness), Uncertainty/Risk, and Knowledge/Resources
- Where should we go? **CAGE Framework**
 - Differences (not levels) that are relevant to the industry in analysis
 - Not “bad” or “good” markets; rather “close” or “far”
- Fundamental aspect of global strategy is learning how to manage differences in order to build long-term sustainable advantage

TODAY

- What are some of the uncertainties/risks of going abroad? **CIA (Comparative Institutional Analysis) Framework.**
 - *Navigating institutional differences and dealing with corruption*

What We Are Trying to Solve in the Global Module

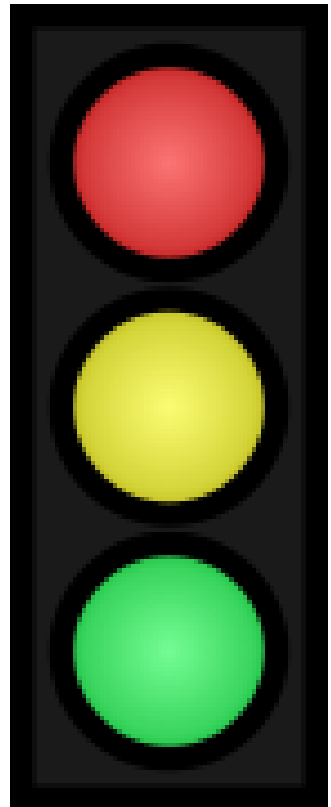


Should we go abroad?

Where should we go?

How should we go?

What We Are Trying to Solve in the Global Module



Should we go abroad?

- **ADDING Value**
- **CIA:** Comparative Institutional Analysis

- Grolsch Beer
- Corruption in International Business

Where should we go?

- **CAGE:** Culture, Administrative, Geographic, and Economic
- **AAA:** Adaptation, Aggregation, and Arbitrage

- European Super League
- Apple
- Zara

How should we go?

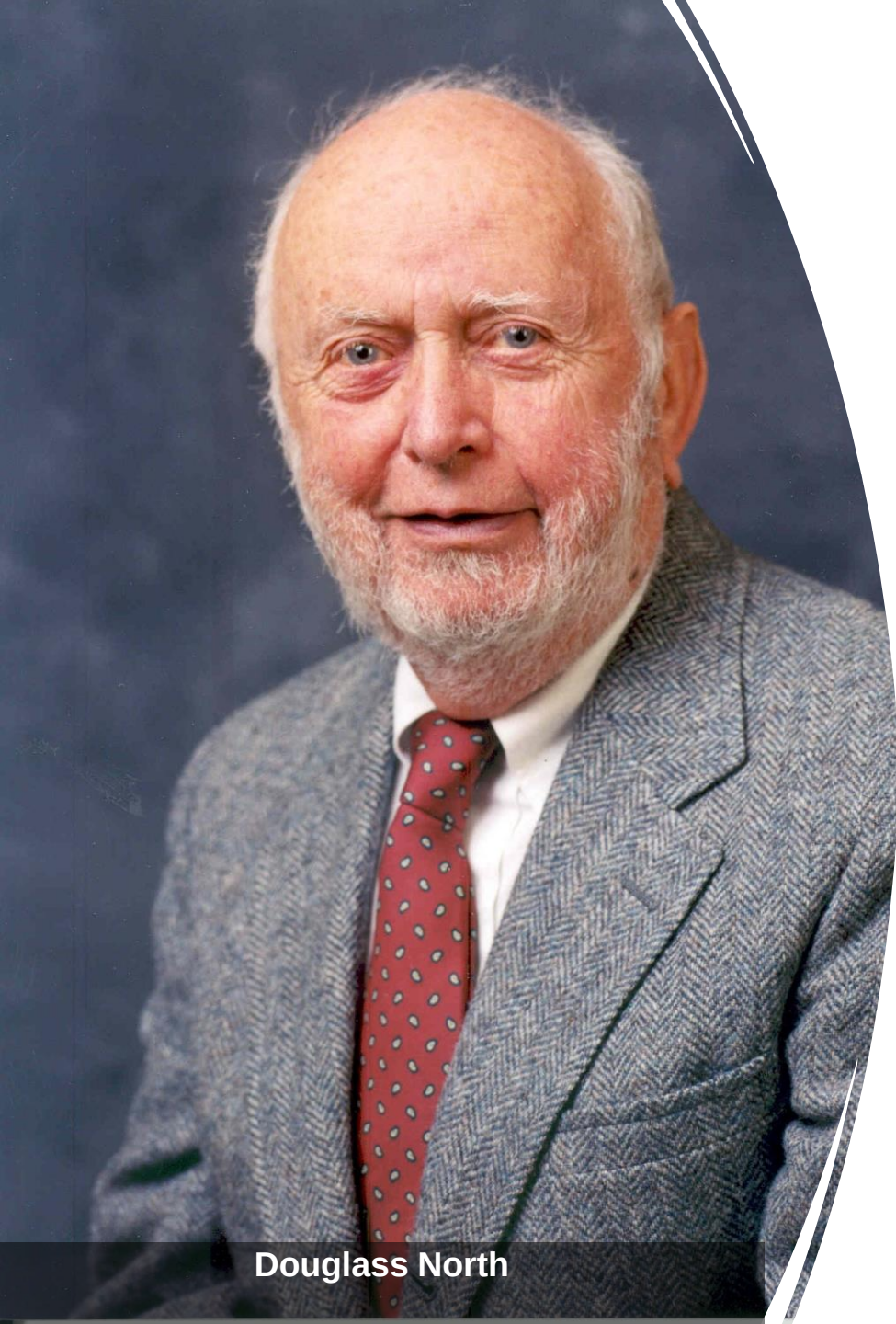
- **TCE:** Transaction Cost Economics
- **SM:** Stakeholders Management

- Walmart in China
- Tata Group
- Natura

What are institutions? Why do they matter?

North (1991). "Institutions."
Journal of Economic Perspectives.
5(1): 97-112





Douglass North

The “Rules of the Game”

*“Institutions are the **humanly devised constraints** that structure political, economic, and social interaction.”*

*“They consist of **both informal constraints** (sanctions, taboos, customs, traditions, and codes of conduct) **and formal rules** (constitutions, laws, property rights)”*

(North, 1991: 97)

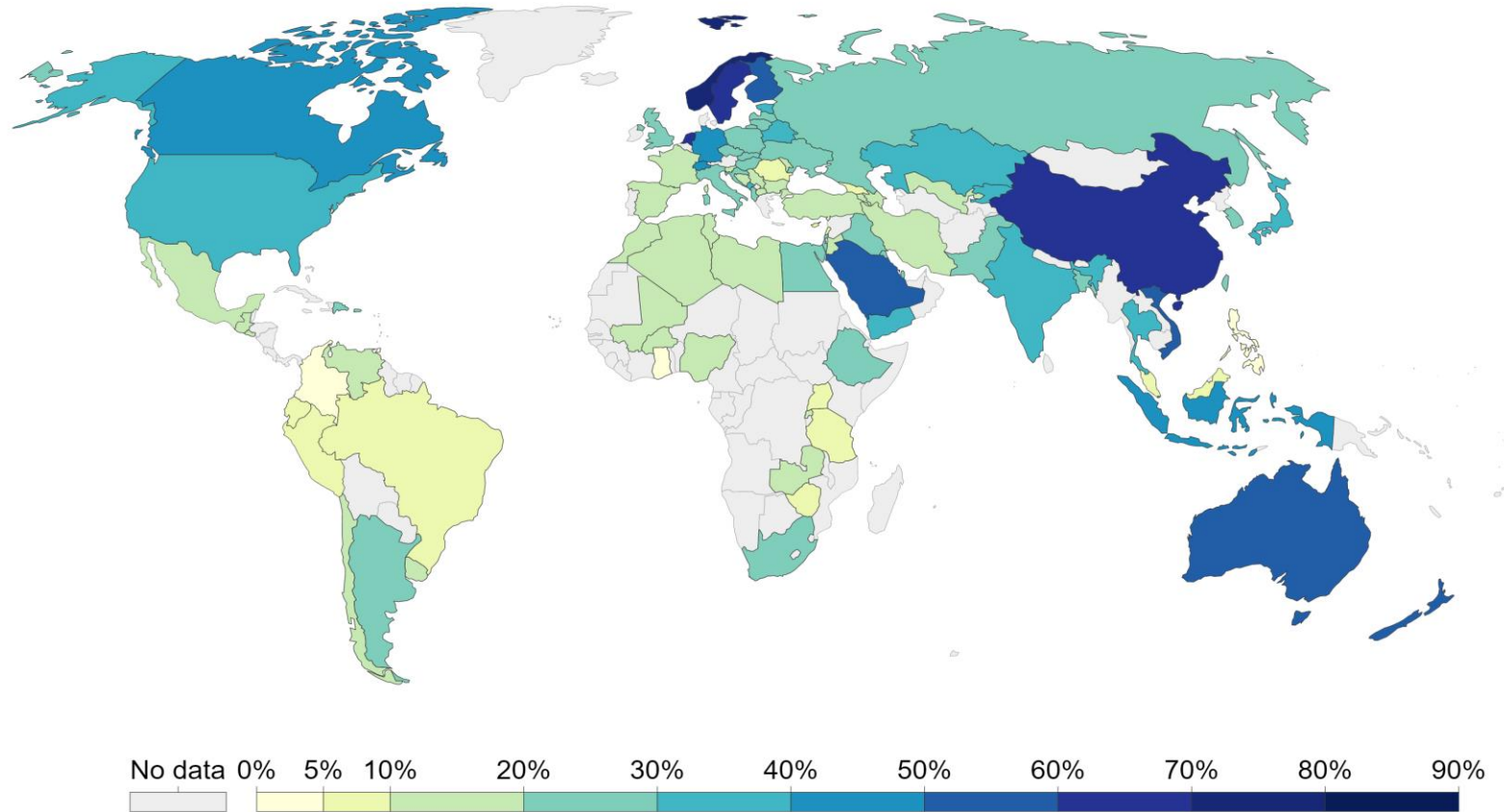
Institutions Essentially Depends on *Trust*

Share of people agreeing with the statement "most people can be trusted",
2014

Our World
in Data

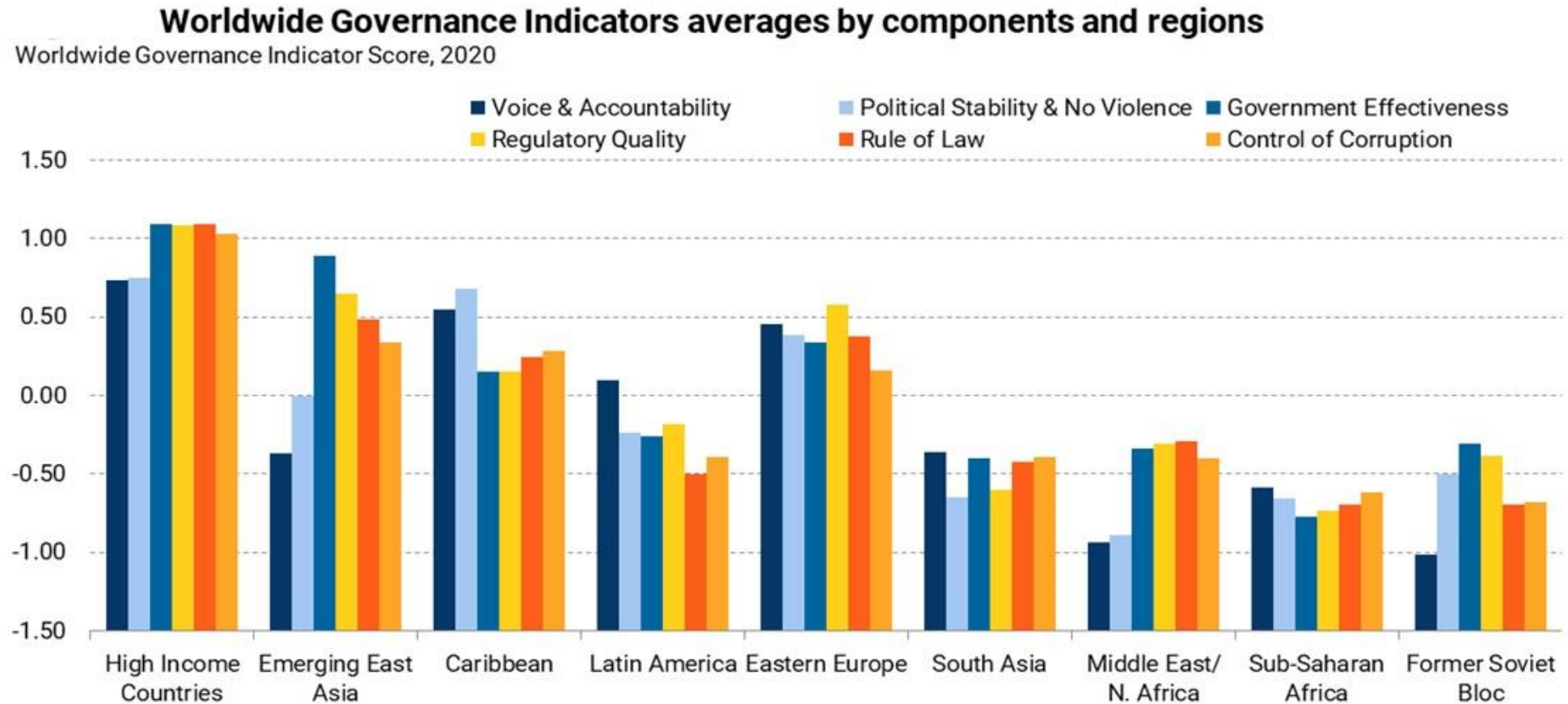
The survey question was "Generally speaking, would you say that most people can be trusted or that you need to be very careful in dealing with people?"

Possible answers were "Most people can be trusted", "Don't know" and "Can't be too careful".



Source: Our World in Data <https://ourworldindata.org/trust>

Institutions are Heterogeneous Across Countries and Regions

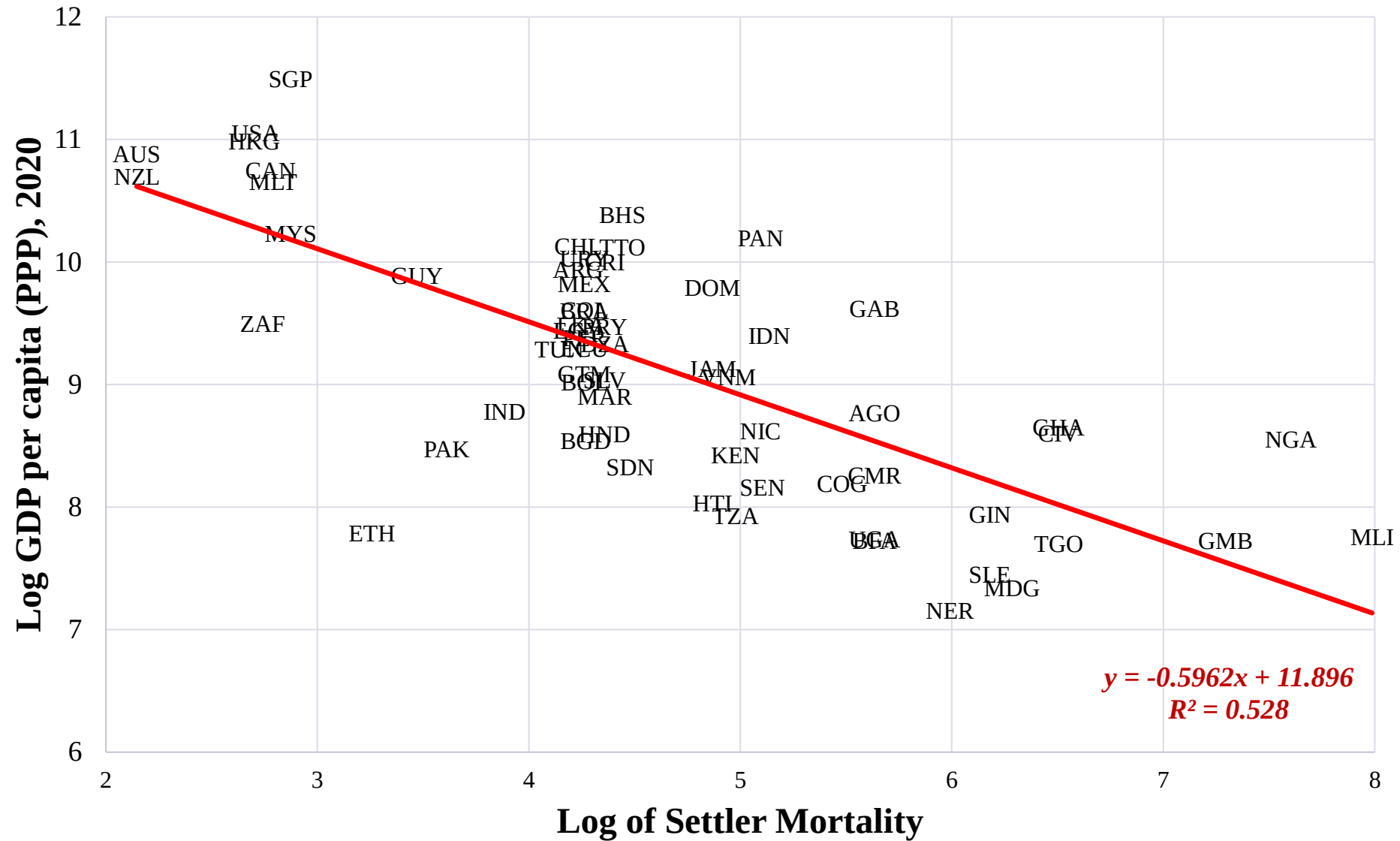


Notes: Eastern Europe refers to the former socialist Central & Eastern European countries. Emerging East Asia refers to China, Hong Kong, Indonesia, the Republic of Korea, Malaysia, Philippines, Singapore, Thailand, and Vietnam. Belize, Suriname, French Guiana and Guyana were assigned to the Caribbean group of countries. High Income countries comprise those whose income per capita is above US\$12,696 according to World Bank classification and income per capita data. Source for the calculation of WGI average scores: Worldwide Governance Indicators <http://www.govindicators.org>

BROOKINGS

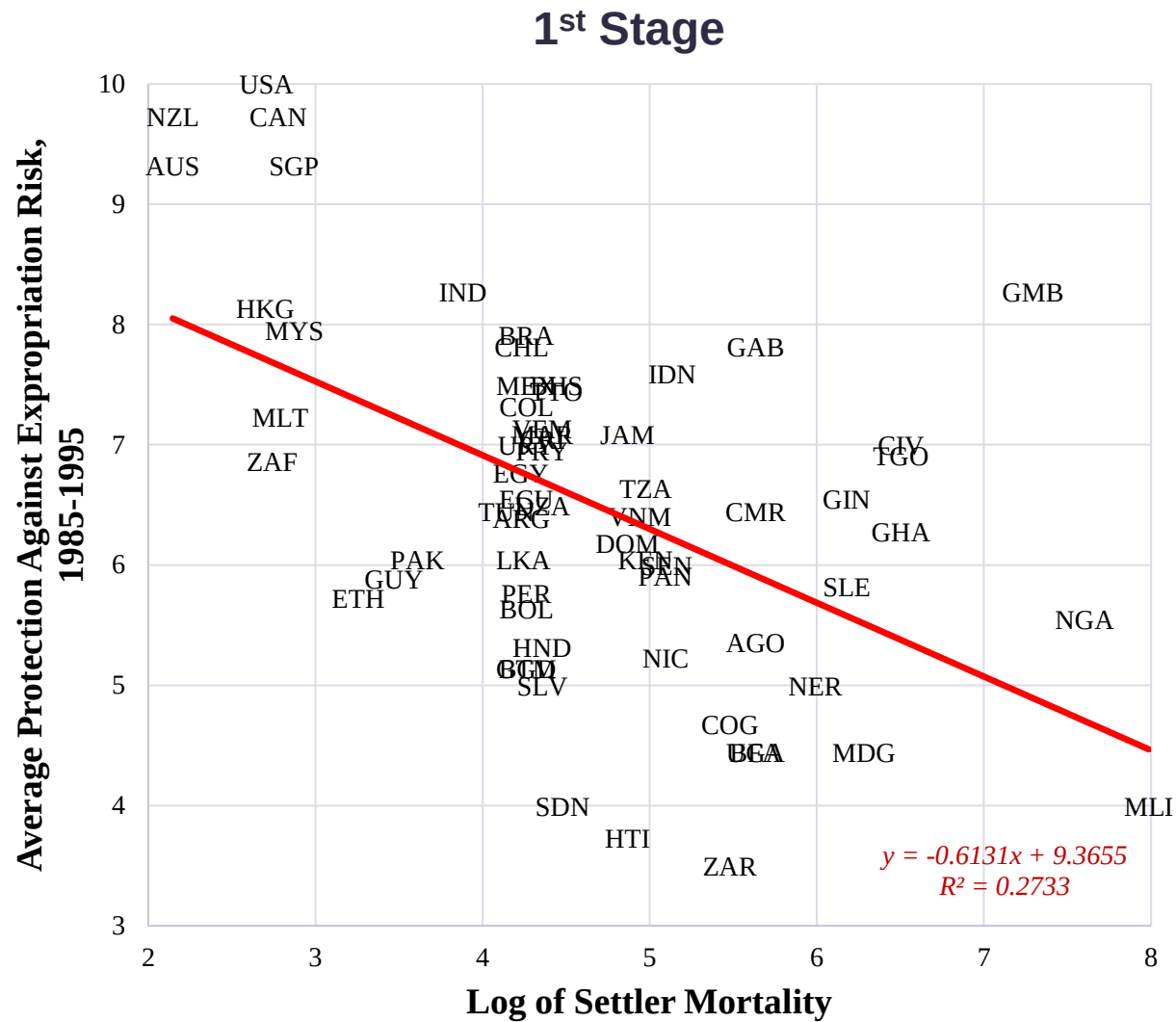
Source: Brookings Institution, using data from the Worldwide Governance Indicators. <https://www.brookings.edu/blog/future-development/2021/09/30/its-complicated-lessons-from-25-years-of-measuring-governance/>

What is going on here? Why?



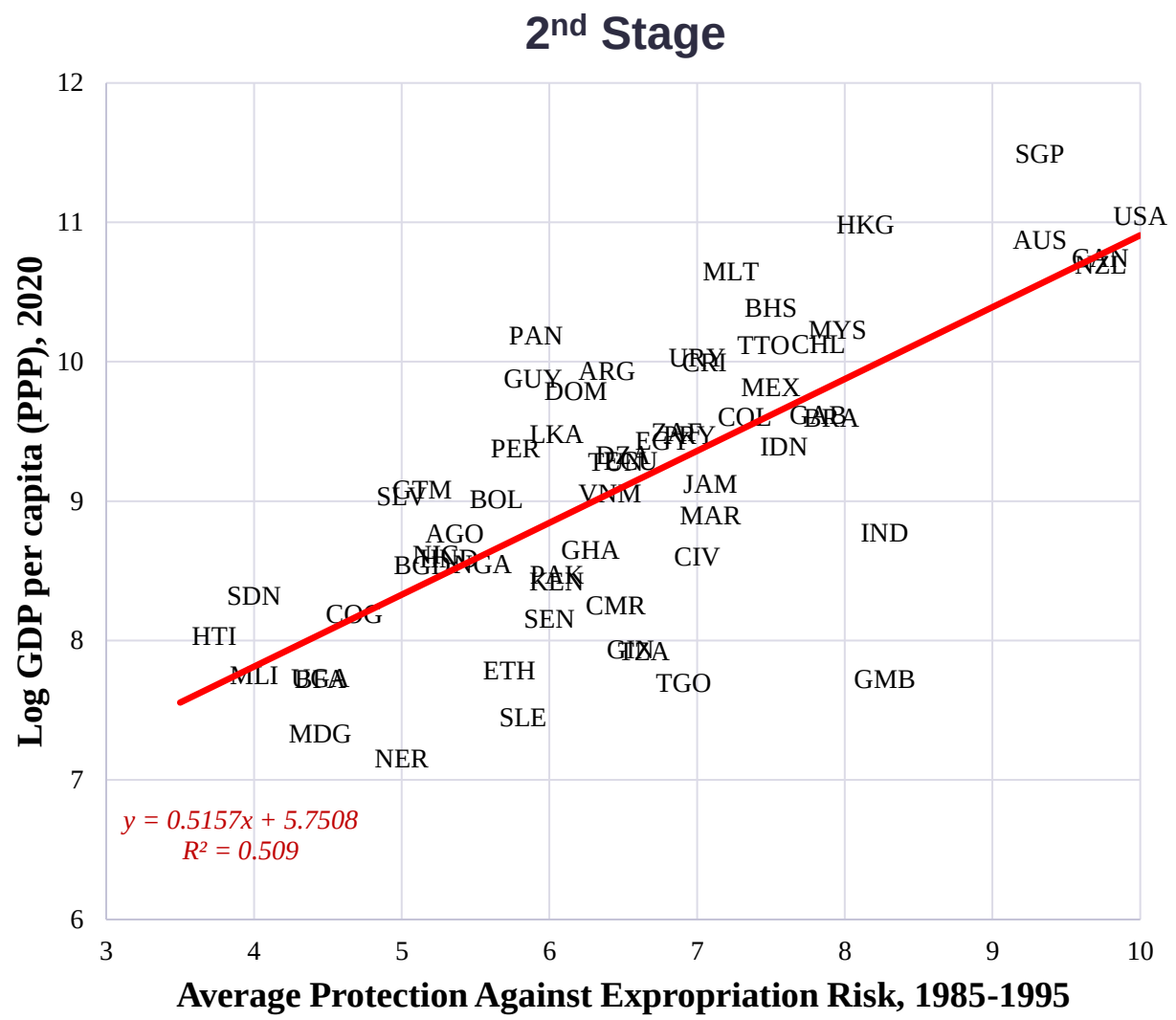
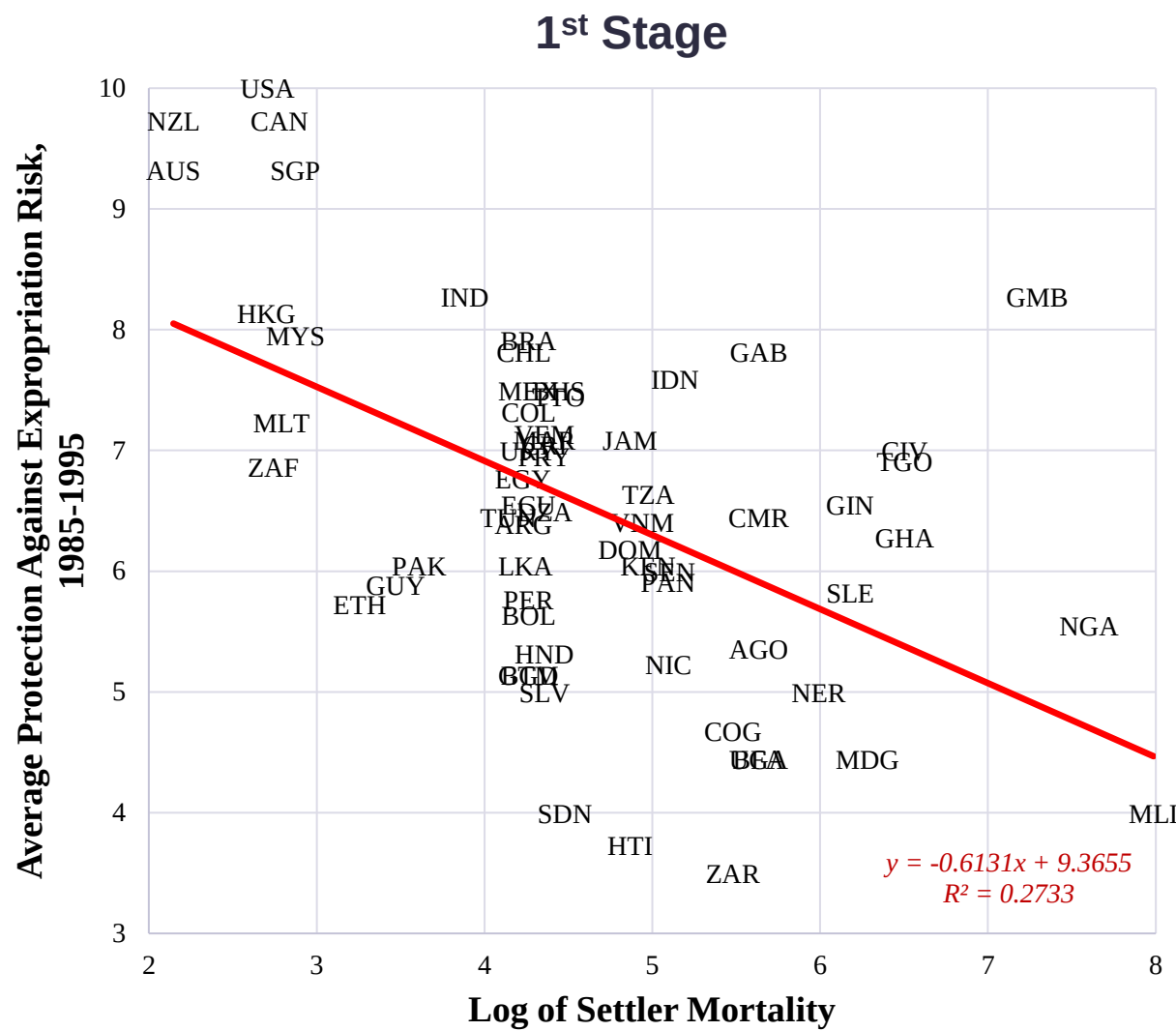
Source: Acemoglu et al. (2001)

What is going on here? Why?



Source: Acemoglu et al. (2001)

What is going on here? Why?



Source: Acemoglu et al. (2001)



[Video Link](#)

Why Nations Fail

Extractive Institutions

Concentrated political and economic powers

Reinforce the enrichment of powerful local elites

Inclusive Institutions

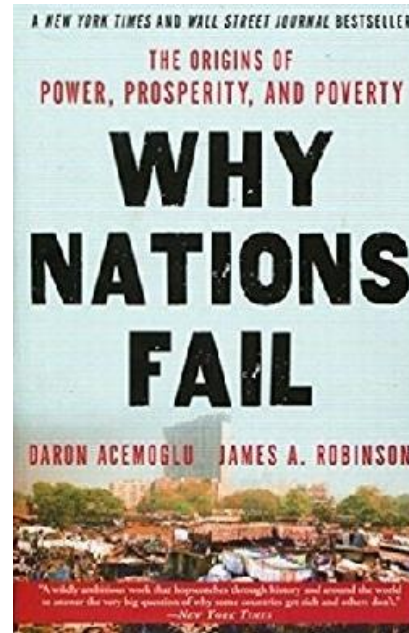
Political and economic systems that are pluralistic and benefit the whole community

Government integrity

Protects individual rights and property rights

Create conditions to reward entrepreneurship and innovation,

Foster competitive markets.



Source: Acemoglu and Robinson (2012)

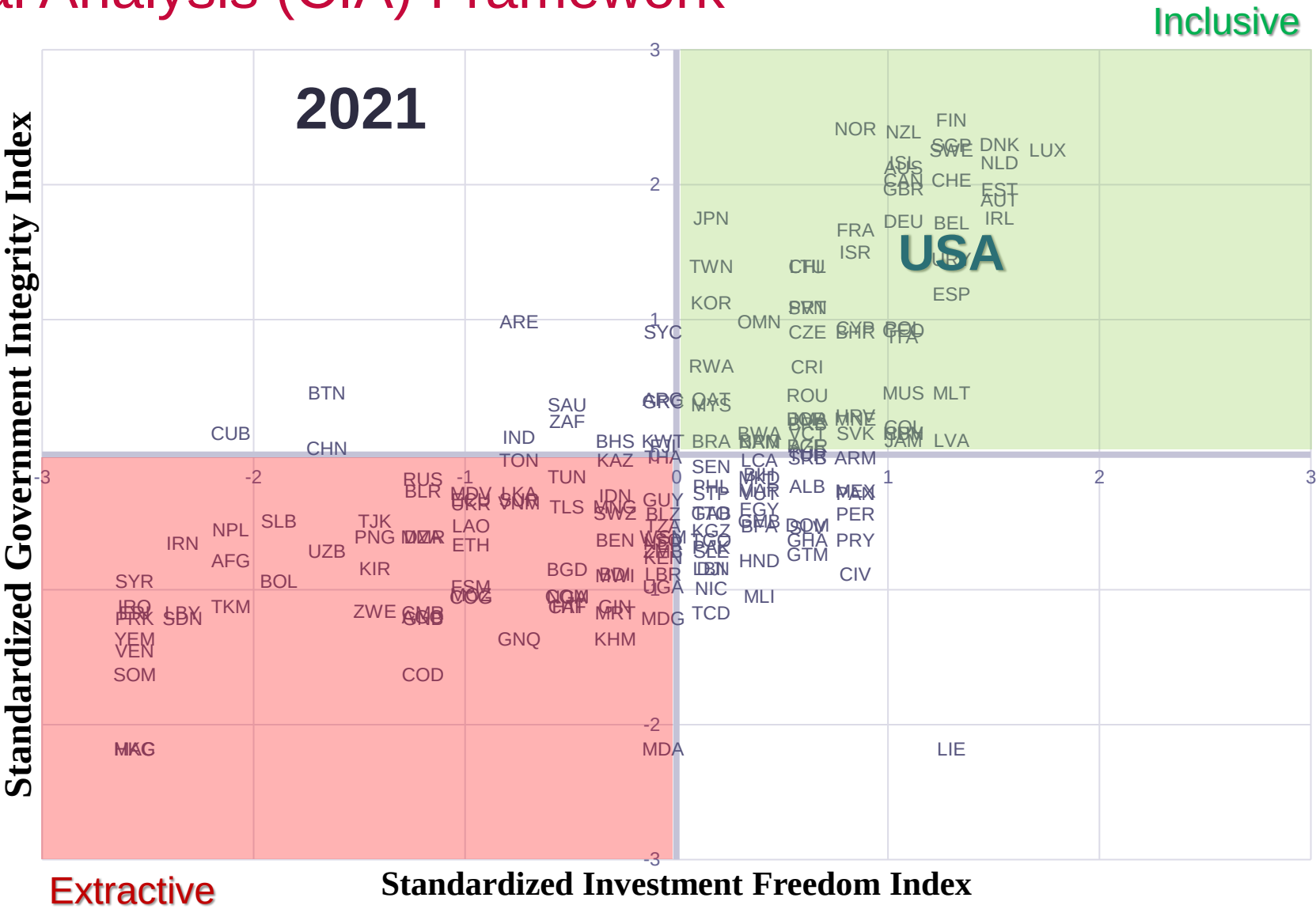
Comparative Institutional Analysis (CIA) Framework

Cross-country comparison

- Relative position of countries in institutional dimensions.

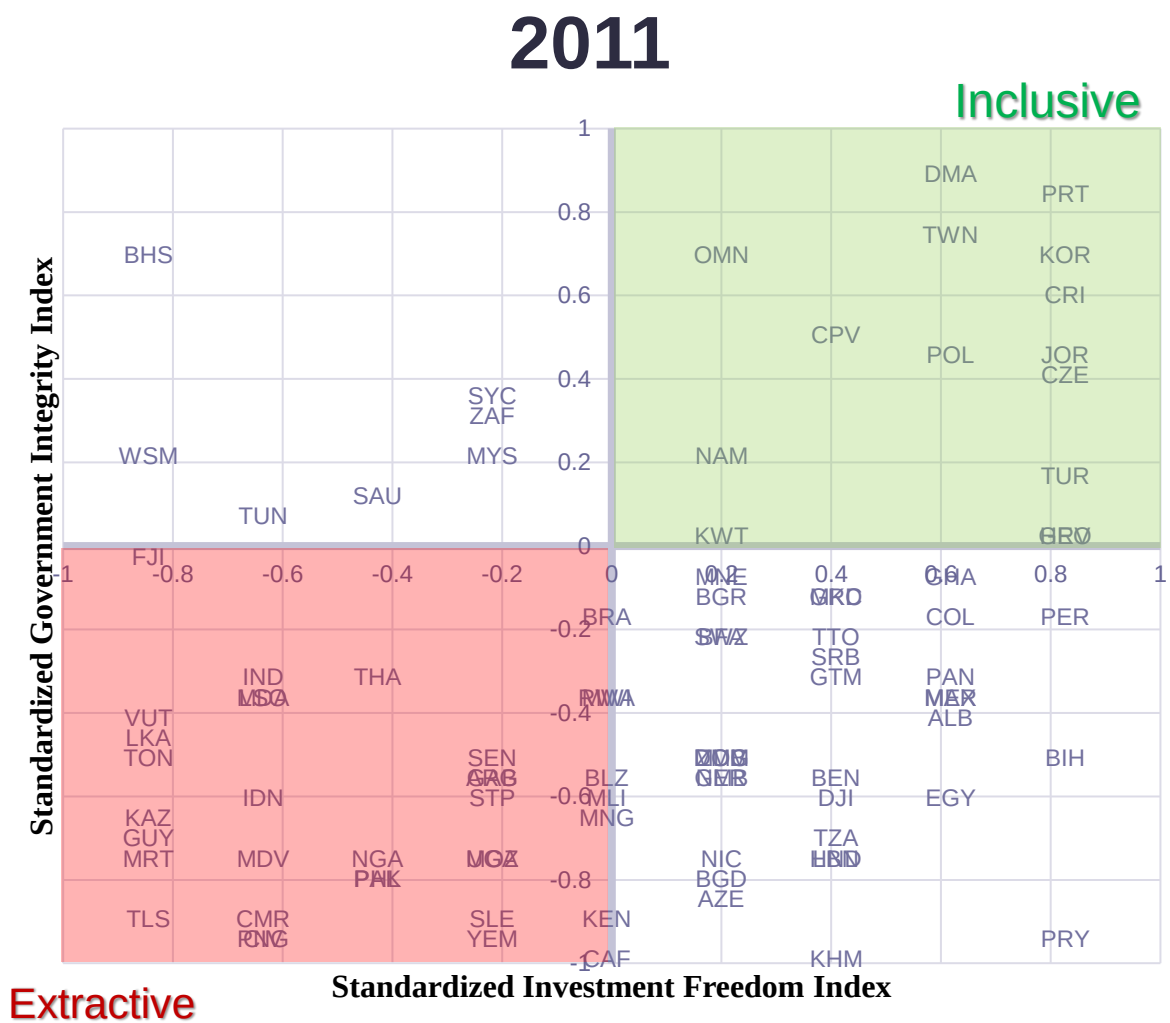
Intertemporal comparison

- Country movements in the chart.



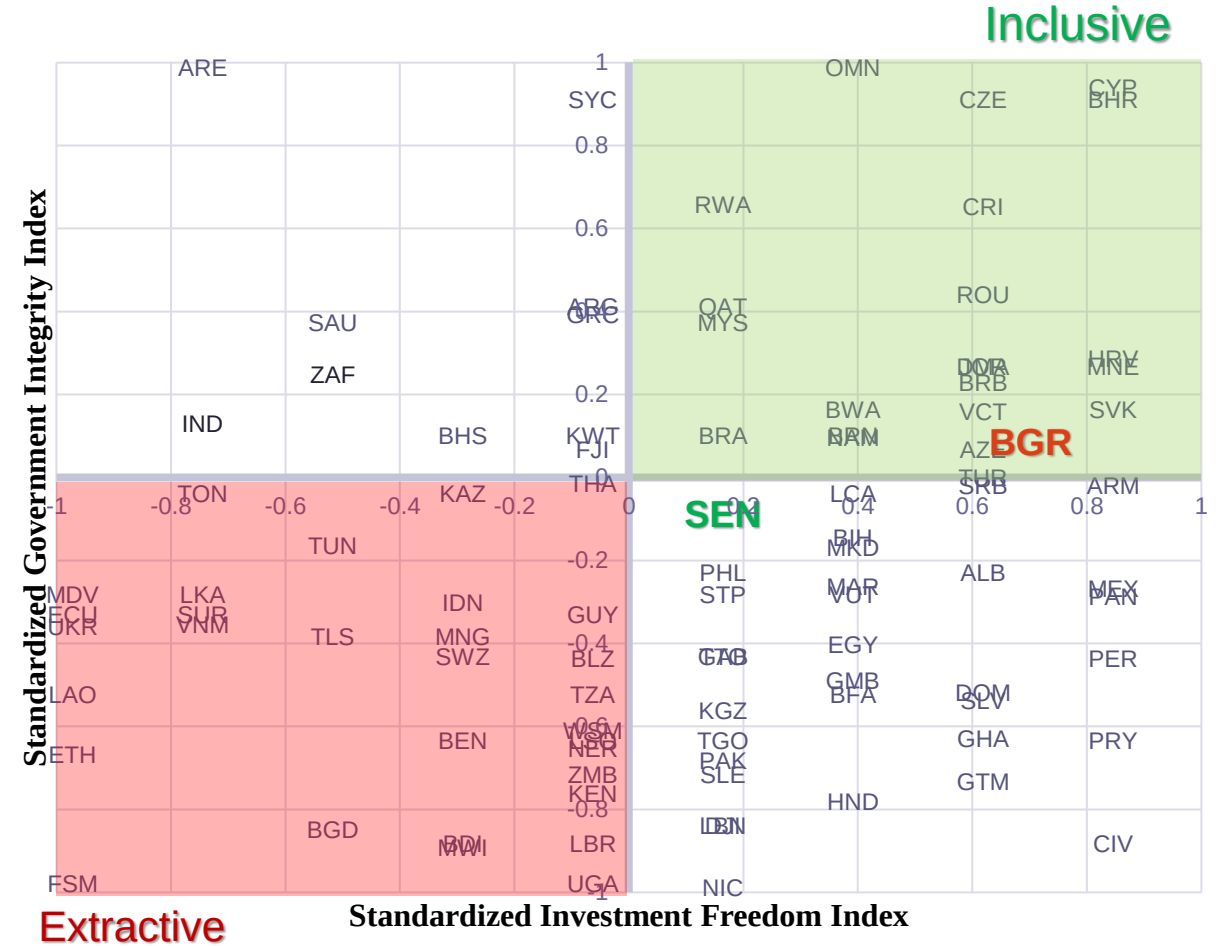
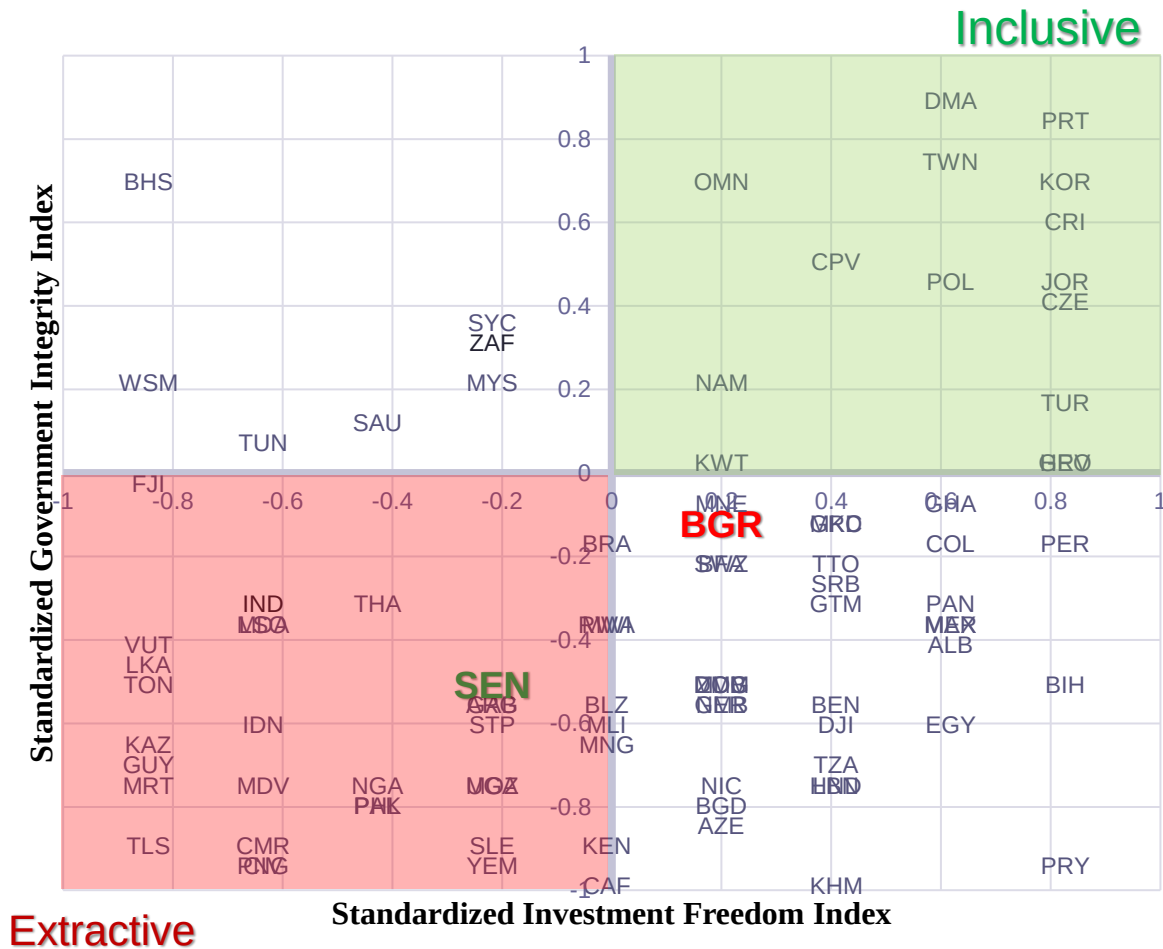
Source: World Bank TCdata360. Heritage Index of Economic Freedom.

Comparative Institutional Analysis (CIA) Framework



Source: World Bank TCdata360. Heritage Index of Economic Freedom.

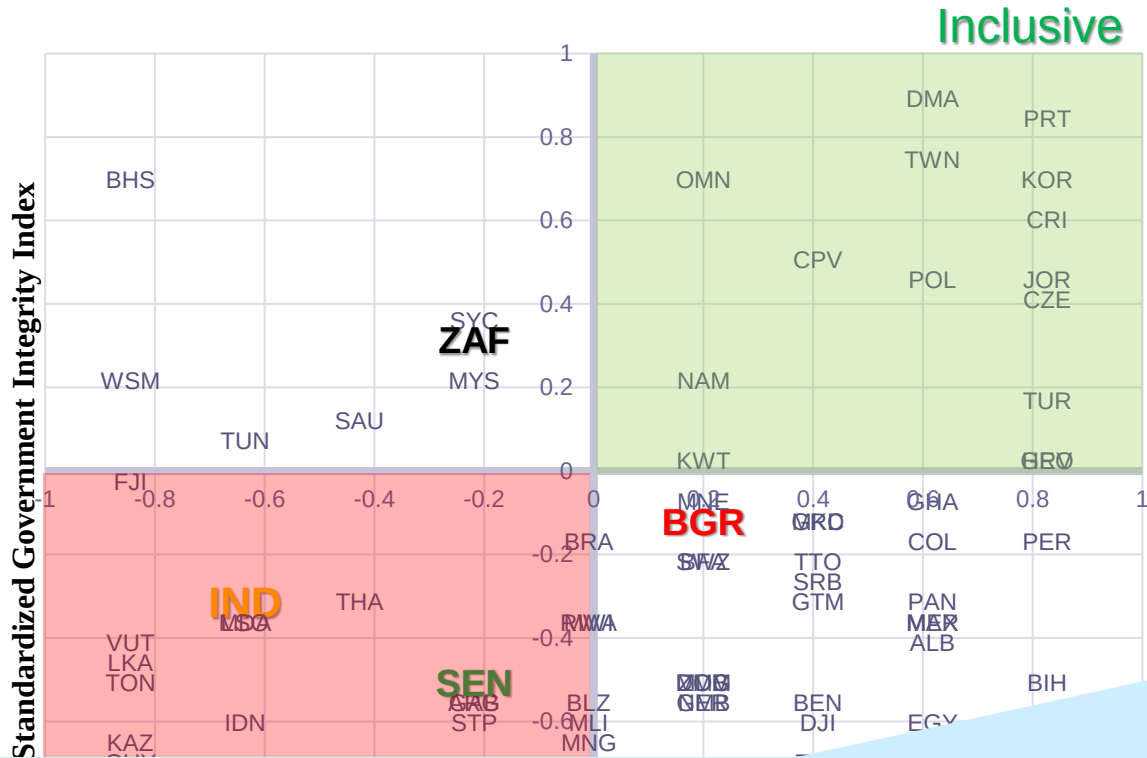
Comparative Institutional Analysis (CIA) Framework



Source: World Bank TCdata360. Heritage Index of Economic Freedom.

Comparative Institutional Analysis (CIA) Framework

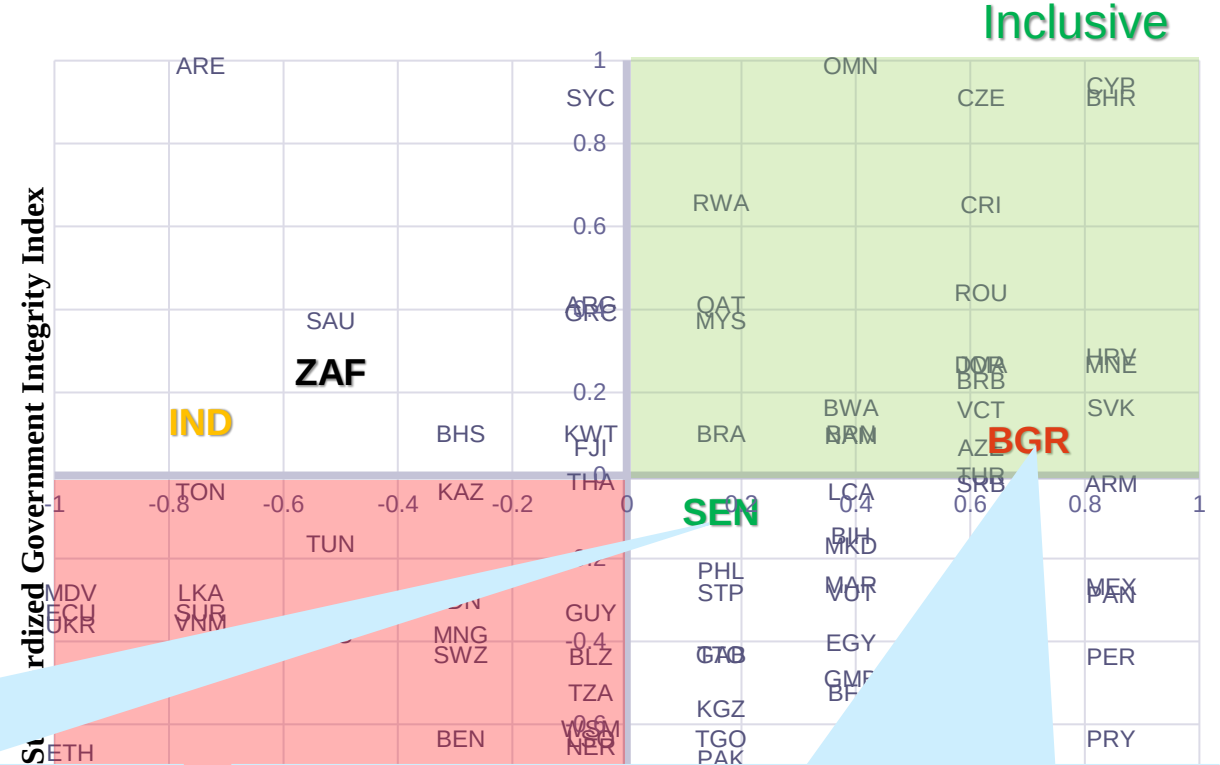
2011



Senegal's successful Special Economic Zone (SEZ)

“(...) a key factor to successful zones is adopting an “integrated approach” where governments align policies throughout all ministries. Having a special authority that works alongside the ministry of investment or the ministry of trade makes the country much more appealing to foreign investors who appreciate a coherent policy approach.” – Africa Business, Nov 4th, 2022

2021



Bulgaria 15 years in the EU

“Romania and Bulgaria have seen over the past 15 years a slow-but-steady rise in the standard of living, as well as many reversals in bringing about reform in all areas of public life, from the economy to a much-needed overhaul of the judicial systems.” – EU observer, Jan 25th, 2022

Institutions Shape Business Interactions

World Bank – “Doing Business” report

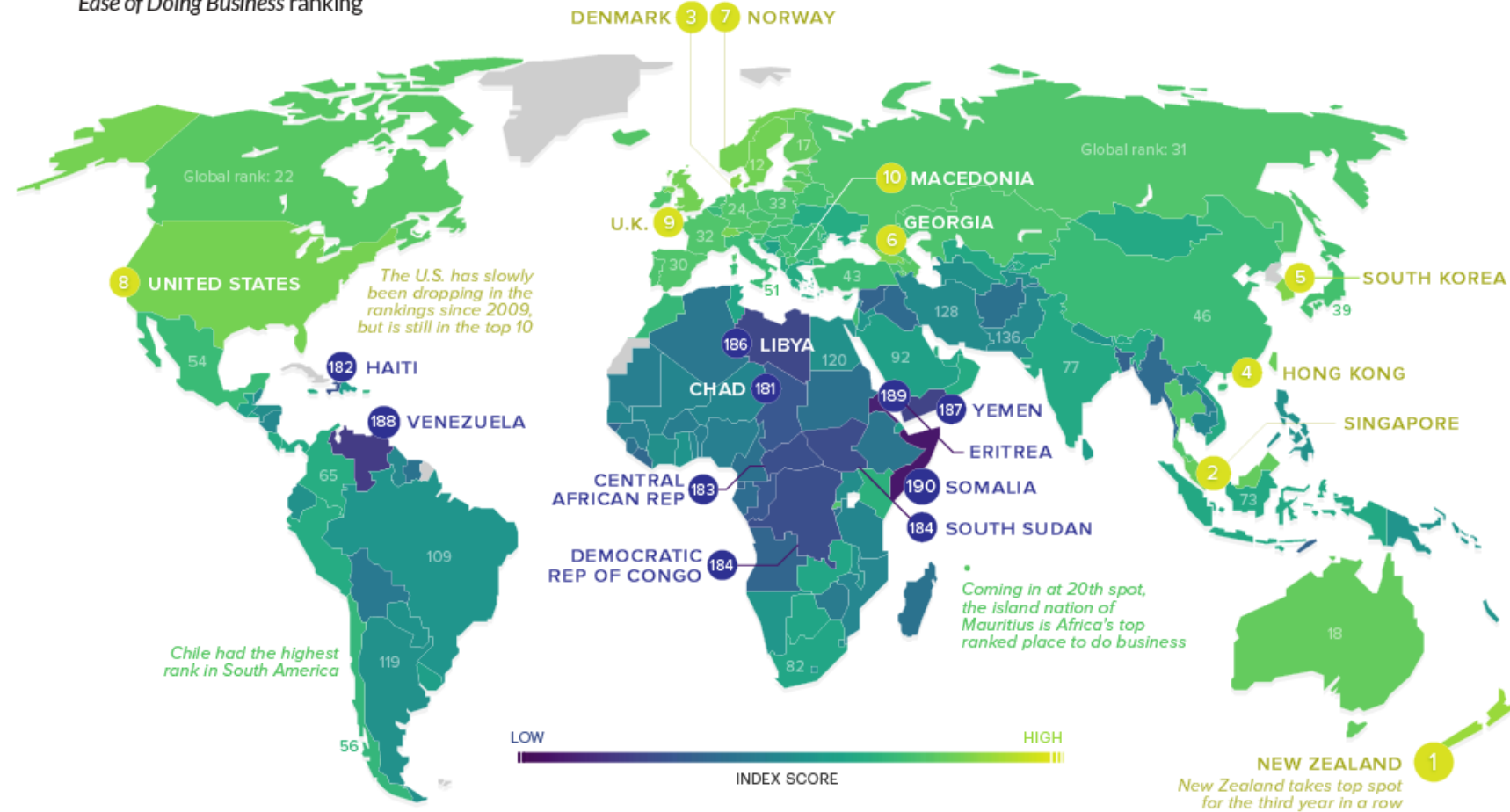
- Easy if starting a business
- Getting credit
- Getting electricity
- Enforcing contracts
- Paying taxes
- Labor market regulations
- Dealing with construction permits
- Trading across borders
- Registering property
- Resolving insolvency
- Protecting investors

THE WORLD’S BEST AND WORST PLACES TO DO BUSINESS

Ranking 190 economies on measures of regulatory quality and efficiency

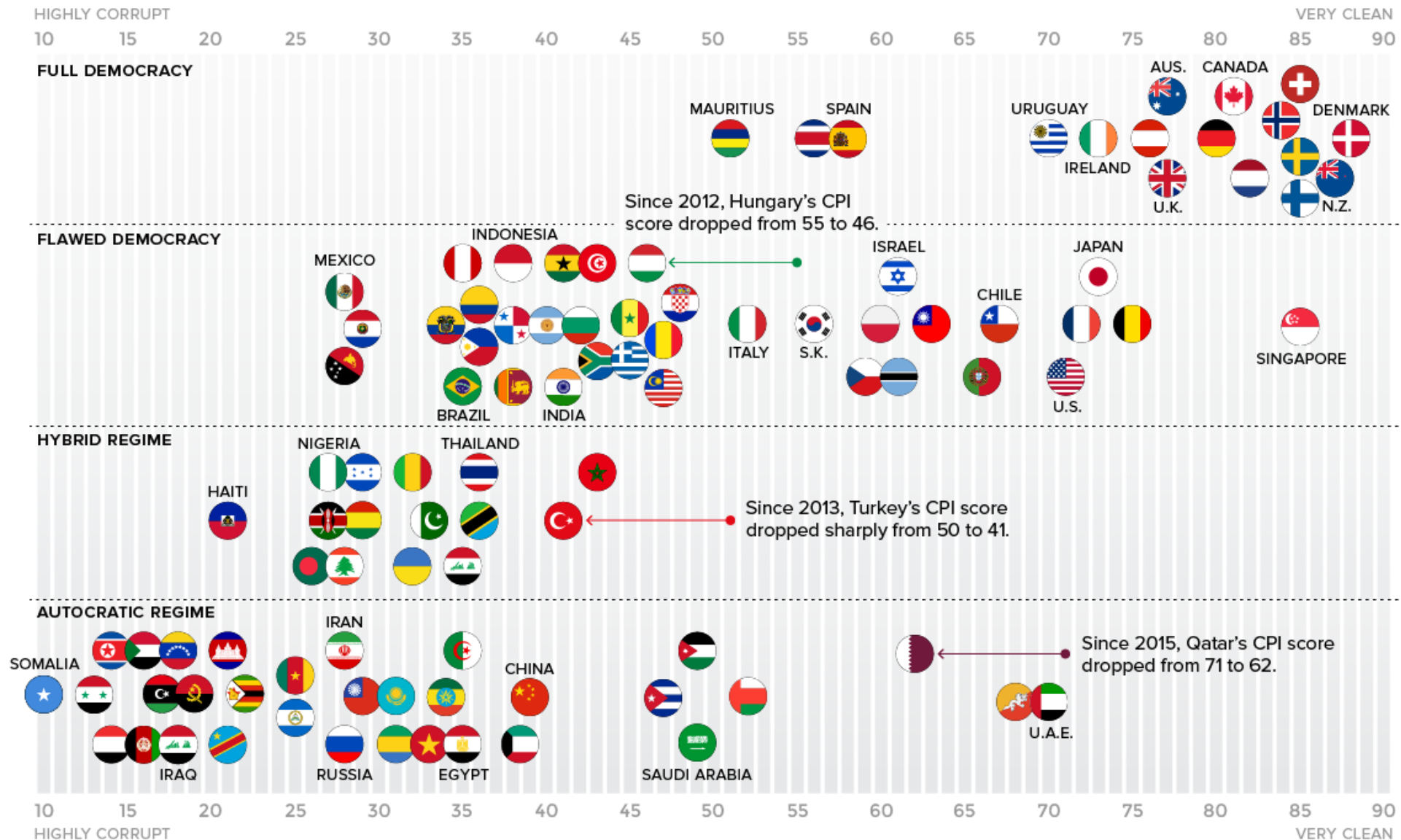
Top 10 and bottom 10

Ease of Doing Business ranking



Source: World Bank “Doing Business” report and VisualCapitalist.

Institutions determine the likelihood of corruption happening



Source: Corruption Perception Index, The Economist Intelligence Unit, and VisualCapitalist.

Where Is It Easier to Make Money? Under Better or Worse Institutions?

David Neeleman (founder, Jet Blue and Azul), on Brazil...

(Interview to the newspaper *Folha de São Paulo*, Feb 14, 2011)

JetBlue's call center is highly regarded. Why hasn't it worked well in Brazil?

- NEELEMAN: ... *This is due to lack of competition... Everything is more expensive in Brazil. Cell phones, internet, phone lines... I am impressed. People have lower salaries here, but pay higher prices for almost everything.*

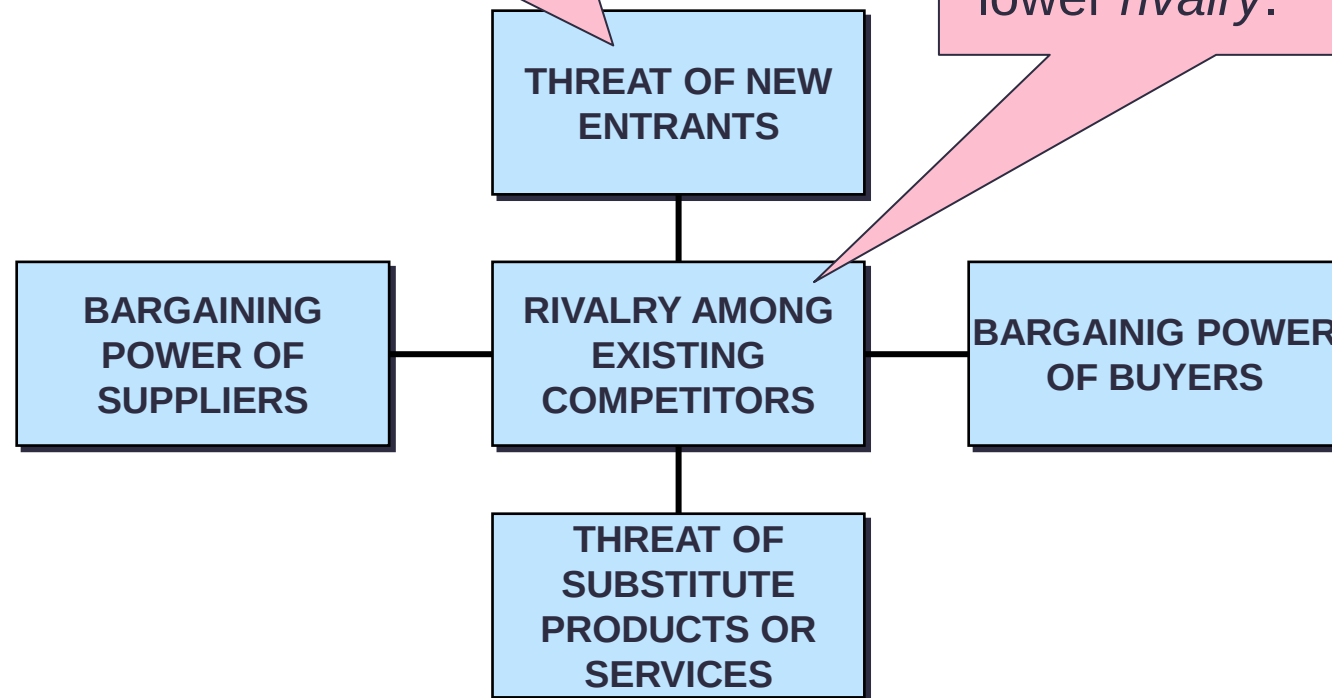
Where is it easier to make money, here or in the US?

- NEELEMAN: *Here [in Brazil]. We already have 10% of the market. JetBlue has 4% in the US, after 10 years.*



Recall The *Five Forces Model*

Poor institutions create “voids” and increase transaction costs. But those difficulties also make *entry* more difficult!



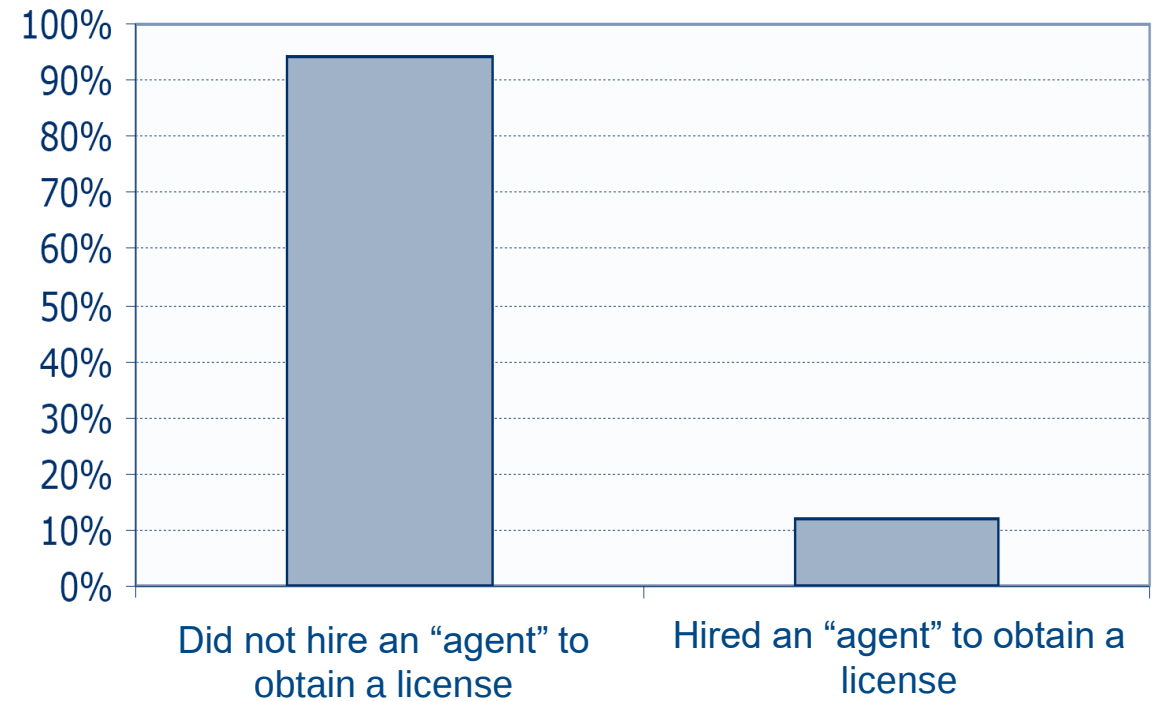
... which also tends to lower *rivalry*.

The Negative Consequences of Corruption

Some propose it allows firms to get things done (i.e., “oil in the wheels of commerce”).

On the other hand:

- Unfair competition
- Entry barriers for those who lack sufficient resources to pay bribes.
- Bribes also act as some form of “tax.”
- Market distortions and deadweight loss.
- Bad decisions from a societal point of view (“negative externalities”).



Obtaining a driver's license in India:

Percentage of individuals who took the legally required driving test

Source: Bertrand, Sjankov, Hanna and Mullainathan (QJE, 2007, p. 1662).

Not All Corruption Forms Are Equal

Elites vs. Non-elites

Theft vs. Exchange

Firms may get “advantages” via corruption, for example:

- Campaign donations to win public contracts
- Obtaining a local operation license
- Extortion from a street bureaucrat to avoid a fine
- Embezzlement

Freakonomics Radio. Episode 481: “Is the U.S. Really Less Corrupt than China—and How About Russia? [From 13’32” to 18’00”](#)”

CORRUPTION COMES IN DIFFERENT
TYPES WITH DIFFERENT HARM

	NON-ELITES	ELITES
INVOLVES THEFT	Petty theft = toxic drugs 	Grand theft = toxic drugs 
INVOLVES EXCHANGES	Speed money = painkiller 	Access money = steroids 

Source: Yuen Yuen Ang webpage.

Not All Corruption Forms Are Equal

Elites vs. Non-elites

Theft vs. Exchange

Firms may get “advantages” via corruption, for example:

- Campaign donations to win public contracts → Access money
- Obtaining a local operation license → Speed money
- Extortion from a street bureaucrat to avoid a fine → Petty theft
- Embezzlement → Grand theft

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	NON-ELITES	ELITES
INVOLVES THEFT	Petty theft = toxic drugs 	Grand theft = toxic drugs 
INVOLVES EXCHANGES	Speed money = painkiller 	Access money = steroids 

Source: Yuan Yuen Ang webpage.

Corruption in International Business

Caselets of Corruption

**(From Kennedy, R. E. & DiTella, Rafael. 2001.
Corruption in international business (A))**

Key Takeaways

- Should we go abroad? What are some of the uncertainty/risks of going abroad?
CIA (Comparative Institutional Analysis) Framework.
 - Institutions are the “rules of the game,” and they affect economic performance
 - They can be both formal and informal
 - They can be formed top-down or bottom-up
 - They can be extractive or inclusive
 - Comparative Institutional Analysis (CIA) should be performed
 - Cross-country and Intertemporally
- Corruption
 - Different types of corruption with different effects on firms and countries

Next Class

- Where should we go? **CAGE Framework.**
 - *Navigating distances in global markets*

Looking Ahead: Distances

- Quiz opens at **5PM today** and closes in **72 hours**
 - **15 minutes to answer 3 questions** (open book)
 - Once you start the quiz, you can't stop or start over
- **Next Class:**
 - Pankaj Ghemawat (2001) "Distance Still Matters: The Hard Reality of Global Expansion," Harvard Business Review 79(8): 137-147
 - Tarun Khanna. (2014) "Contextual Intelligence," Harvard Business Review, September: 2-11
 - European Super League: "Why the European Super League failed," The Economist, April 24, 2021.
 - Video (watch before class) Deutsche Welle TV on: "Why US sports are more socialist than European football." (DW Channel on Youtube). Click [here](#) to watch
 - Optional movie: "American Factory" (2019, Netflix). Click [here](#) to check.

QUESTIONS

- *Why is CPA (Country Portfolio Analysis) a bad way to evaluate where a business should internationalize?*
- *What are the key features of the CAGE framework?*
- *Using the CAGE framework, explain why the European Super League failed.*



Thank you.

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